

Meaning

* Financial Management refers to "Efficient acquisition of finance, efficient utilisation of finance, efficient distribution and disposal of surplus for smooth working of company."

"Management relating to finance is called financial Management".

* The main objective of financial management is to maximise the wealth of shareholders.

- Equity shareholders get dividend only after the claim of suppliers, lenders, employees, creditors and other clients. Therefore if the shareholders are going to automatically implies that all other claimants are also gaining.

- With the objective of wealth maximisation of shareholders

Following objectives automatically get achieved.

- (i) Profit maximisation
- (ii) Proper utilisation of funds
- (iii) Maintenance of liquidity
- (iv) Meeting financial commitments with creditors.

Financial Planning

→ It means deciding in advance how much to spend on what to spend according to the fund at your disposal.

÷ In General It includes ÷

- (i) Determine the amount of finance needed by an enterprise to carry out its operation smoothly.
- (ii) Determination of source of fund.
- (iii) Make suitable policies for proper utilisation of funds.

Importance of Financial Planning

→ Financial planning is essential for success of any business enterprise.

"Finance is like blood of business without it a business can't survive."

- (i) It helps in collecting optimum funds → the financial planning estimate the precise requirement of fund which means to avoid wastage and over-capitalisation situations.
- (ii) It helps in fixing the most appropriate capital structure → funds can be arranged from various sources and are used for long term, medium term & short term. Financial planning is necessary to identify the capital structure.

- (iii) It helps in investing finance in Right Projects $\rightarrow$ It suggests how to funds are to be allocated for various purposes by comparing various investment proposals.
- (iv) It helps in proper utilisation of finance $\rightarrow$ Finance is the life blood of the business. So financial planning decide how fund to be utilised.
- (v) Help in avoiding business shocks & surpluses $\rightarrow$ By anticipating the financial requirement financial planning helps to avoid shock or surprises which otherwise firm have to face in uncertain situations. It helps the company in preparing for the future.
- (vi) It links present with future $\rightarrow$ Financial planning relates present financial requirement with future requirement by anticipating the sales and growth plans of the company.

Financial Decisions

$\rightarrow$ The finance functions related to three major decisions which every finance manager has to take.

- 1) Investment decision
- 2) Financing decision
- 3) Dividend decision.

* Investment Decision (Capital Budgeting decision)

→ This decision relates to careful selection of assets in which funds will be invested by the firms.

⇒ Factors Affecting Investment (Capital Budgeting) decisions.

- 1) Cash flow of the project → whenever a company is investing huge funds in an investment proposal it expects some regular amount of cash flow to meet day to day requirement.
- 2) Return on Investment → The most important criteria to decide the investment proposal is rate of return it will be able to bring back for the company. Those investments are selected which give higher return.
- 3) Risk involved → With every investment proposal, there is some degree of risk also involved. The company must try to calculate the risk involved in every proposal and select those investments which have low degree of financial risk.
- 4) Investment criteria → Along with return and risk, cash flow, there are various other criteria which help in selecting a proposal.

* Financial Decision

→ The second important decision which financial manager has to take is deciding source of finance. A company can raise finance from various sources such as by issue of share, debenture, or by taking loans & Advances. Deciding how much to raise from which source is financing decision.

- These are two sources -

(i) Owner's fund

(ii) Borrowed fund.

→ owner's fund constitute, share capital & retained earnings.

→ borrowed fund constitute, debenture, loans, bonds etc

The main concern of finance manager is to decide how much to raise from owner's fund & how much to raise from borrowed fund.

Factors affecting financing decisions

1) Cost → The cost of raising finance from various sources is different & finance managers always prefer the source with min. cost.

2) Risk → More risk ~~prefer~~ is associated with borrowed fund ~~to~~ as compared as compared to owner's fund.

Finance manager compares the risk.

3) Cash Flow Position → The cash flow position of the company also help in selecting the securities. With smooth cash flow companies can easily afford borrowed fund.

But when companies have shortage of cash ~~it~~. How then they must go for owner's fund security only.

4 Flotation cost $\rightarrow$ It refers to the cost involved in issue of ~~share~~ securities such as broker's commission, uncertainties fees, expenses on prospects etc. firm prefer securities which involve least floating cost.

5 State of capital market $\rightarrow$ The condition in capital market also help in deciding the type of security to be raised. During boom period it is easy to sell equity shares as people are ready to take risks whereas during depression period there is more demand for debt securities in capital market.

* Dividend decisions

- This decision is concerned with distribution of surplus fund. The profit of the firm is distributed among various parties such as creditors, employees, debenture holders, shareholders etc. These are the fixed liability of the company. The surplus profit is either distributed to equity shareholders in the form of dividend or kept aside in the form of Retained Earning. - under dividend decision the manager decides how much to be distributed in the form of dividend and how much to keep aside as retained earning. To take this decisions, company keeps in the mind about the growth plans & investment opportunities. If more investment opportunities are valuable & company has growth plans then more is kept aside as retained earnings & less is given in the form of dividend, but if company wants to satisfy the shareholder & has less growth plans, then more is given in the form of dividend & less is kept aside as retained earnings.

* Factors affecting Dividend decisions

• Earnings ÷ Dividends are paid out of current & previous year earnings. If there are more earnings then company declares high rate of dividend whereas during low earning period the rate of dividend is also low.

2 stability of earning $\rightarrow$ companies having stable or smooth earnings prefer to give ~~low rate of earning~~ high rate of dividend whereas companies with unstable earning prefer to give low rate of earning.

3 Cash flow position $\rightarrow$ Paying dividend means outflow of cash. Companies declare high rate of ~~interest~~ dividend only they have surplus cash. In situation of shortage of cash companies declare no or very low dividend.

4 Growth opportunities $\rightarrow$ If a company has a number of investment plans then it should re-invest the earnings of the company. As to invest in investment projects. Company has two options: one to raise additional capital or invest retained earning. Retained earning are cheaper source as they do not involve flotation cost & any legal formalities. If companies have no investment or growth plans then it would be better to distribute more in the form of dividend. Generally mature companies declare more dividends whereas growing companies keep aside more retained earning.

5 stability of dividend $\rightarrow$ Some companies follow a stable dividend policy as it has better impact on shareholders and improves the reputation of company in the share market. Here company pay regular dividend.

6 Taxation policy $\rightarrow$ The rate of dividend also depends upon the taxation policy of Govt. Under present taxation system dividend income is tax free income. For shareholders whereas company has to pay taxes on dividend to given to shareholders. If tax rate is higher then company prefers to pay less in the form of dividend whereas if tax rate is low then company may declare higher dividend.

★ Financial Leverage | Trading on Equity

Financial Leverage $\Rightarrow$ $\frac{\text{Debt}}{\text{Equity}}$

- More debt will result in increasing in earning only when rate of earnings of the company i.e. ROI is more than ROI on debt.
- $\rightarrow$ If ROI is more than the earning or ROI of then more debt means loss for company.

* Let us prove the situation

Situation 1

Total capital $\Rightarrow$ ₹ 50,00,000

Equity share capital $\Rightarrow$ ₹ 50,00,000 [500,000 shares @ ₹ 10 each]

Debt $\Rightarrow$ Nil

Tax rate $\Rightarrow$ 30% P.A

Earning before interest and tax [EBIT] $\Rightarrow$ ₹ 7,00,000

ROI $>$ Rate of interest $\Rightarrow$ Debt $\uparrow$ EPS $\uparrow$

ROI $<$ Rate of interest $\Rightarrow$ Equity $\uparrow$ EPS $\uparrow$

Situation 2

Total Eq Capital $\Rightarrow$ ₹ 50,00,000

Equity capital $\Rightarrow$ ₹ 40,00,000 [400000 shares @ 10 each]

debt $\Rightarrow$ ₹ 10,00,000

Tax rate $\Rightarrow$ 30% P.A

Intrest on debt $\Rightarrow$ 10%

EBIT $\Rightarrow$ ₹ 700,000

Hence it is proved that more debt brings more income for owners in the capital structure

But this structure hold true only if return on investment is more than Rate of Intrest.

$$\text{in above case ROI} \rightarrow \frac{\text{EBIT}}{\text{Capital employed}} \times 100$$

$\rightarrow$

If in the above three situation we take net profit before intrest and tax [EBIT] $\Rightarrow$ ₹ 300,000

$$\text{then } \frac{3,00,000}{50,00,000} \times 100 \rightarrow 6\% \quad \text{Rate of Intrest is } 10\%$$

if $\text{ROI} < \text{Rate of Intrest}$

Hence it is proved that more debts brings less income for owner

But this statement hold true only if return on investment is less than rate of Intrest.

Q1 A company's earning before interest and tax is ₹ 7 lac. It pay 10% interest on its debt. Total investment of company is 50 lac.

- Advise company whenever it should include debt or equity to raise its capital.
- Normal the concept relate to this.
- Will the company's decision to raise fund from debt or equity will change if company's EBIT becomes 3 lac.

* Capital structure

→ Capital structure means the proportion of debt & equity used for financing the operations of business.

$$\text{Capital structure} \Rightarrow \frac{\text{Debt}}{\text{Equity}} \quad (\text{Financial Leverage})$$

* Factors Determining the capital structure.

1 Cash flow position → The decision related to composition of capital structure also depends upon the ability of business to generate enough cash flow. The company's under legal obligation to pay a fixed rate of interest to debentureholders, dividend to preference share & principle and interest amount for loan. Sometimes company makes sufficient profit but it is not able to generate cash inflow for making payment.

2 Return on investment $\Rightarrow$ ROI is another important factor helps in deciding the capital structure. If return on investment is more than rate of interest then company must prefer debt in its capital structure whereas if ROI is less than rate of interest then company should avoid debt & return on equity capital.

3 Cost of debt $\Rightarrow$ If the firm can arrange borrowed fund at low rate of interest then it will prefer more debt as compared to equity.

4 Tax rate $\Rightarrow$ High tax rate makes debt cheaper as interest paid to debt security holder is subtracted from income before calculating tax. whereas companies have to pay tax on dividend paid to shareholders. So, high tax rate means prefer debt whereas low tax rate we can prefer capital structure in equity.

5 Cost of Equity $\Rightarrow$ Another factor which helps in deciding capital structure is cost of equity. Owner or equity shareholders expect a return on their investment. i.e., EPS [Earning per share]. As far as debt increasing [EPS] then we can include it in capital structure. But when EPS starts decreasing with inclusion of debt then we must depend upon equity share capital only.

★ Fixed Capital

- Investment in fixed assets is for longer duration is called fixed capital. Fixed capital is financed through long term source of finance such as equity shares, preference shares, debentures, long term loans etc. The requirement of fixed capital depends upon various factors which are explained below.:

* Factors of fixed capital :

- 1) Nature of Business → The type of business involved in the first factor which helps in deciding the requirement of fixed capital. A manufacturing company needs more fixed capital as compared to trading company: as trading company does not need plant & Machinery etc.
- 2) Scale of operation → The company which is operating at large scale requires more fixed capital as they need more machineries & other assets whereas small scale company needs less amount of fixed capital.
- 3) Technique of production → Companies using capital intensive technique require more fixed capital whereas companies using labour intensive technique require less capital.

4) Technology upgradation $\rightarrow$ Industries in which technology upgradation is fast need more amount of fixed capital as when new technology is invented & they need to buy new plant. Whereas those company whose technology upgradation is slow. They require less fixed capital as they can manage with old machines.

5) Growth prospectus $\rightarrow$ Companies which are expanding & have higher growth plan require more fixed capital to expand they need to expand their productivity capacity and to expand production capacity. Companies need more plant & machinery so, more fixed capital.

Working Capital

It refers to excess of current assets over current liabilities.

* operating cycle is the time period between acquisition of raw material and the collection of cash from receivables. Longer the operating cycle, larger will be the working capital.

* Factors affecting the working Capital

- The finance manager must keep in mind following factors:-
- 1) Length of operating cycle $\rightarrow$ The amount of working capital directly depends upon the length of operating cycle. If operating cycle is long then more working capital is required whereas companies having short operating cycle, the working capital requirement is less.
- 2) Nature of Business $\div$ In case of trading concern or retail shop the requirement of working capital is less because length of operating cycle is small. The wholeseller as compared to retail shop requires more working capital as they have to maintain large stock.
- 3) Scale of operation $\rightarrow$ The firm operating at large scale need to maintain more inventory. So they generally require large working capital whereas firms operating at small scale requires less working capital.
- 4) Business cycle fluctuation $\rightarrow$ During boom period the market have more demand, more production, more stock which means working capital is required whereas during depression period low demand, less stock to be maintain so, less working capital is required.

5) Technology & Production technique $\rightarrow$ Company using labour intensive technique of production. then more working capital is required whereas company using capital intensive technique need less working capital.

6) Growth prospectus $\rightarrow$ Firm planning to expand their activities will require more amount of working capital as for expansion they need to increase scale of production which means more raw material, more inputs so, more working capital also.